

spending reflects just how sensitive remaining wealth is to small differences in spending rates over longer periods of time, at least when returns are high. Within the context of the 4 percent rule, real compounded returns would need to be a bit above 3 percent to sustain a 4 percent initial spending rate over thirty years with an additional objective to preserve 50 percent of the purchasing power of the initial retirement wealth.

*Exhibit 2.9*

*Sustainable Spending Rates for Different Planning Horizons and Investment Returns*

*Objective: Preserve 50% of Wealth (Inflation-Adjusted) at End of Horizon*